WALL STREET
ALPHA

THE INVESTMENT BANKING INTERVIEW GUIDE

Chase's Placement Playbook

Technicals Guide

The technical questions banks ask, and how to answer them.

Contents

How I Got Into High Finance.....**3**

How to Prepare for the Technical Interview.....**5**

The Technical Questions.....**7**

What Comes Next.....**16**

How to Use This Guide:
Read Sections 1 and 2 in single sitting and then live in Section 3. Say every answer out loud, on a timer, without looking at the page. Reading this guide is worth almost nothing but if you can recite it, you'll get an offer. Every technical question in this guide came from a real interview my students sat in.

Schedule Your Call

Schedule a call with Chase to hear about the 1:1 program: wallstalpha.com/apply

Section One

How I Got Into High Finance

I did not come from a finance family and nobody handed me a seat. What I had was a precise understanding of the recruiting calendar and a willingness to begin eighteen months ahead of my peers. The path below is set out in order, with the specific function each step served.

The Path

Firm	Stage	Program	What It Delivered
Blackstone	**Freshman Year**	Blackstone Early Insight Program	My first exposure to the buyside, before I even knew what an LBO was. Every person in that room became a warm intro for the next two years.
J.P.Morgan	**Freshman Year**	J.P. Morgan Early Insight Program	Taught me the language of how bankers actually talk about deals, and showed me that most of my competition had no idea these programs existed. Applications opened in the fall for a spring program.
Deutsche Bank	**Sophomore Summer**	Deutsche Bank Sophomore Summer Analyst	My first real seat, with live deal exposure, real models and, critically, a full-time analyst network that got me referred into junior-year recruiting at every other bank.
Magnetar	**Junior Year**	Magnetar Capital Portfolio Management Intern	A Citadel spin-off I worked for in college that fueled my interest in hedge funds and gave me exposure to the private credit markets.
Morgan Stanley	**Junior Summer**	Morgan Stanley Sales & Trading Summer Analyst	The Deutsche Bank internship made this offer possible. I chose S&T over IB because it paid more for fewer hours and sat closer to the funds I eventually wanted to work for.
Morgan Stanley	**Full-Time**	Morgan Stanley Sales & Trading Analyst	Converted the internship into a full-time offer. Two years on the desk learning how risk, pricing and credit behave when real money is on the line.
BAYVIEW ASSET MANAGEMENT	**Exit**	Bayview Asset Management (Private Credit Hedge Fund)	Moved from S&T to the buyside and spent four years underwriting credit. Earned the CFA along the way, passing all three levels on the first try (top percentile).
CHICAGO BOOTH The University of Chicago Booth School of Business	**Today**	MBA Candidate, University of Chicago Booth School of Business	Building Wall Street Alpha and coaching students who are exactly where I was ten years ago.

The Four Things That Actually Mattered

1. Early Insight Programs

Freshman and sophomore diversity and early insight programs at Blackstone, J.P. Morgan, Goldman Sachs, Morgan Stanley and every other bulge bracket bank are the highest-converting entry point in the industry. Applications close before the average sophomore has even opened a resume template. If you are a freshman or sophomore reading this, stop and build a tracker of every one of these programs today.

2. Your First Seat Is Leverage for Your Second Seat

My sophomore investment banking internship at Deutsche Bank in New York gave me a network of bankers who would take my call. Junior-year recruiting is a referral game, and referrals come from your network, which is why I spent my sophomore summer in New York. Choose your freshman and sophomore internships for the network they produce, not the brand on the door.

3. The Technical Bar Is Low, the Fluency Bar Is High

By the time you are in the room, most candidates know the technical basics. Everyone knows how the three statements link; what separates people is fluency. The question is whether you can explain it out loud without a running start, and whether your answer holds up when someone pushes back. There is a big difference between sounding like you have thought about this before and sounding like you are building the answer live while staring at the ceiling. Interviewers hear that difference in about ten seconds, and it decides the outcome. Two candidates can have the same knowledge, and the offer goes to the one who sounds like they already work there.

4. What I Would Tell My Freshman Self

Start eighteen months early, apply to every early insight program you are eligible for, and treat every internship as a network opportunity rather than a line on a resume. The people who win recruiting are not smarter; they are earlier.

Section Two

How to Prepare for the Technical Interview

Most candidates prepare by reading, which for me, was the least effective method of preparation. The interview tests retrieval under pressure, in front of a stranger, under time constraint. Preparation should therefore replicate the conditions of the test itself.

Four Phases

Every effective prep plan moves through the same three phases in the same order. Skipping ahead is the most common mistake.

Phase	Focus	Objective
Phase 1: Foundation ***(Weeks 1-2)***	Accounting	The three statements, how they link, and how any transaction flows through all three. Nothing else matters until this is automatic.
Phase 2: Core ***(Weeks 3-4)***	Valuation	DCF, WACC, comps, precedent transactions, enterprise vs. equity value, and multiples.
Phase 3: Advanced ***(Weeks 5-6)***	M&A and LBO	Merger models, accretion/dilution, LBO mechanics, debt schedules, and returns drivers.

Phase 4: Performance ***(Weeks 7+)***	Delivery	No new material. Only reps out loud, on a timer, with a live person, in random order. This is the phase that typically separates candidates.

The Rep System

This is the method I used, and in my opinion, the only part of this guide that is non-negotiable.

- Say it out loud, every single answer. If you have only ever thought an answer, you do not know it. The gap between silent comprehension and spoken fluency is enormous and it is where offers are lost.
- Put it on a timer with ninety seconds for a walk-me-through question, thirty for a definition. If you cannot finish in time, your answer is structured wrong.
- Randomize the order. Studying questions in the order they appear in a guide teaches you the guide, not the material. Shuffle them and have someone else pick.
- Twenty mock interviews with a live person beats two hundred hours of solo review, so practice with a human. Nerves are a variable you have to train, and you cannot train them alone.
- Track your misses by keeping a running list of every question you fumbled. That list, not the full question bank, is what you review the morning of the interview.

What Not to Do

- Do not memorize scripts word for word as interviewers can hear it instantly, and one follow-up question off-script exposes you.
- Only chase obscure questions if you are already perfect with the basics. The overwhelming majority of what you are asked comes from a pool of roughly forty concepts.
- Do not fake it. If you do not know, say so cleanly, reason toward it out loud, and move on. Bankers respect the candidate who says "I am not certain, here is how I would think about it" far more than the one who bluffs and gets caught.

The Tell That Separates Offers and Rejections

When a strong candidate is asked to walk through a DCF, they open with the structure. They state that they would project unlevered free cash flow, discount it at the weighted average cost of capital, add a terminal value and back into equity value, and only then do they populate the detail. Weaker candidates open with detail and never arrive at a structure. Lead with the frame and populate it afterward. This format applies to most technical questions.

Section Three

The Technical Questions

This section has two parts, the first is the twenty questions that form the foundation of every investment banking interview, ordered from the most basic to the most advanced. If you can answer these twenty cold, you can reason your way to the large majority of what you will actually be asked.

The second part is different. Those are specific questions that Wall Street Alpha students were asked in real interviews at PJT, Evercore and Goldman Sachs, reported back to me in their post-interview debriefs, with the answers I would have given.

Part One

Foundations: Questions 1 to 7

Q1. Walk me through the three financial statements.

- The income statement shows profitability over a period: revenue, less cost of goods sold, gives gross profit; less operating expenses gives operating income, or EBIT; less interest and taxes gives net income.
- The balance sheet is a snapshot at a single point in time. Assets equal liabilities plus shareholders equity, always.
- The cash flow statement reconciles net income to the actual change in cash across three sections: operating, investing and financing.

Q2. How do the three statements link together?

- Net income from the bottom of the income statement becomes the top line of the cash flow statement.
- The cash flow statement adds back non-cash items, adjusts for changes in working capital, and subtracts capital expenditures, producing the net change in cash for the period. That change is added to the opening cash balance to give the cash line on the balance sheet.
- Net income less any dividends flows into retained earnings inside shareholders equity. Depreciation reduces the PP&E balance, and capital expenditures increase it.

If you can recite those three links without hesitating, most transaction questions become mechanical.

Q3. If you could only use one financial statement to evaluate a company, which would you pick?

The cash flow statement. It begins with net income, so it carries the income statement result, and it captures changes in working capital, capital expenditures and financing activity, so it reflects movement in most balance sheet lines.

More importantly, it shows how much cash the business actually generates, which is what drives value. A company can report accounting profit and still be burning cash.

Q4. What is the difference between enterprise value and equity value?

- Equity value is the value attributable to shareholders, which is share price times fully diluted shares.

- Enterprise value is the value of the core operating business to every capital provider. It equals equity value plus debt, plus preferred stock, plus minority interest, less cash and cash equivalents.

Enterprise value is capital structure neutral, so two identical businesses financed differently should have similar enterprise values but very different equity values.

Q5. Why do you add debt and subtract cash when moving from equity value to enterprise value?

- You add debt because an acquirer assumes the target obligations, so repaying or refinancing that debt is part of the true cost of buying the business.
- You subtract cash because it is a non-operating asset. The acquirer effectively receives the cash on closing and can use it to offset the purchase price, so it reduces the net cost of the acquisition.

The same logic applies to any other non-operating asset or claim: add what an acquirer must assume, subtract what an acquirer receives.

Q6. Depreciation increases by $10. Walk me through all three statements. Assume a 25% tax rate.

Income statement:

Operating income falls by $10. At a 25% tax rate, net income falls by $7.50.

Cash flow statement:

Start at net income, down $7.50. Add back the $10 of depreciation because it is non-cash. The net change in cash is positive $2.50.

Balance sheet:

Cash is up $2.50 and PP&E is down $10, so total assets are down $7.50. Retained earnings are down $7.50 from the lower net income. It balances.

The takeaway:

Cash actually increased, because depreciation is a non-cash expense that creates a tax shield.

Q7. A company purchases $100 of inventory using cash. Walk me through the statements.

- There is no income statement impact, because nothing has been sold yet and no cost of goods sold is recognized.
- On the cash flow statement, inventory increases by $100, which is a $100 use of cash in working capital. Cash falls by $100.
- On the balance sheet, inventory is up $100 and cash is down $100. Total assets are unchanged, so it balances. The expense only reaches the income statement when the inventory is sold.

Valuation: Questions 8 to 14

Q8. Why would you use EV/EBITDA instead of P/E?

- EV/EBITDA is capital structure neutral. The numerator includes debt and the denominator sits above interest, so two identical businesses with different leverage produce similar multiples.
- It also sits above depreciation and amortization, neutralizing differences in accounting policy and asset age, and above taxes, so it works across jurisdictions.

- P/E is distorted by leverage, tax rates and non-operating items, and it is meaningless for a company with negative earnings. P/E is the correct multiple for financial institutions, where the capital structure is the business.

Q9. Which multiples pair with enterprise value, and which pair with equity value?

- Enterprise value pairs with metrics measured before interest, because both the debt and the equity holders have a claim on them: revenue, EBITDA, EBIT and unlevered free cash flow.
- Equity value pairs with metrics measured after interest, because only shareholders have a claim on them: net income, which gives the P/E, levered free cash flow, and book value of equity.

Mismatching the two is one of the fastest ways to lose an interviewer. EV divided by net income double counts the debt holders, and market capitalization divided by EBITDA ignores them entirely.

Q10. Rank the main valuation methodologies from highest to lowest.

- There is no universal order, but as a general rule precedent transactions come in highest, because they include a control premium and the synergies a buyer was willing to pay for.
- Comparable companies typically come in lower, because they reflect minority stake trading values with no control premium.
- An LBO analysis usually sets the floor, because a financial sponsor must clear a return hurdle and will not pay what a strategic buyer can.
- A DCF can land anywhere. It is the most assumption sensitive method, and small changes to the discount rate or the terminal growth rate move it considerably.

Q11. Walk me through a DCF.

- I project unlevered free cash flow for the next five to ten years. Unlevered free cash flow is EBIT times one minus the tax rate, plus depreciation and amortization, less capital expenditures, less the change in net working capital.
- I discount those cash flows to the present at the weighted average cost of capital, because unlevered cash flow is available to all capital providers.
- I calculate a terminal value using either the perpetuity growth method, which is final year cash flow times one plus g, divided by WACC less g, or an exit multiple applied to terminal year EBITDA. I then discount the terminal value back as well.
- The sum of the discounted cash flows and the discounted terminal value is enterprise value. I subtract net debt and any other claims to reach equity value, then divide by fully diluted shares for an implied share price.

Q12. What is WACC and how do you calculate it?

- WACC is the blended required return of every capital provider, weighted by their share of the capital structure. It is the equity weight times the cost of equity, plus the debt weight times the after tax cost of debt.
- Cost of equity comes from CAPM: the risk free rate, plus levered beta times the equity risk premium, plus a size premium where the company is small.
- Cost of debt is the yield on the existing debt or on comparable issues, multiplied by one minus the tax rate, because interest is tax deductible.

Q13. How do you calculate beta, and why do you unlever and relever it?

- You can regress the company returns against a broad index, but the standard approach for a valuation is to build it from comparable companies.
- You take the levered beta of each comparable and unlever it by dividing by one plus one minus the tax rate times debt over equity. That strips out the effect of each company financing decisions and leaves the business risk alone.
- You take the median unlevered beta of the set, then relever it at the target own capital structure. That gives a beta reflecting the business risk of the industry and the financial risk of your specific company.

The reason for the round trip is simple. Leverage inflates beta, so comparing raw levered betas across companies with different capital structures compares financing decisions rather than businesses.

Q14. Can enterprise value be negative? What does that tell you?

Yes. If a company cash balance exceeds its market capitalization plus its debt, enterprise value is negative.

It typically occurs with deeply distressed companies, cash rich shells, or a business immediately after a large asset sale. In most cases the market is signaling that it expects the cash to be destroyed rather than returned to shareholders.

Advanced: Questions 15 to 20

Q15. Walk me through a merger model.

- First, project standalone financials for both the acquirer and the target.
- Second, determine the purchase price and the consideration mix: how much cash, how much new debt, how much stock.
- Third, complete the purchase price allocation. Goodwill is the equity purchase price less the fair value of the target net identifiable assets, with existing goodwill written off and asset write ups recognized.
- Fourth, combine the income statements and layer in the adjustments: foregone interest income on cash used, incremental interest expense on new debt, new shares issued if stock is used, incremental depreciation and amortization from the write ups, and any synergies.
- Finally, divide pro forma net income by pro forma diluted shares to reach pro forma EPS and compare it to the acquirer standalone EPS. Higher is accretive, lower is dilutive.

Q16. In an all stock deal, how do you know immediately whether it is accretive?

Compare the two P/E multiples. If the acquirer P/E is higher than the target effective P/E, meaning the purchase equity value divided by the target net income, the deal is accretive.

The intuition is that the acquirer is issuing expensive paper to buy cheaper earnings, so earnings per share rise. If the acquirer P/E is lower, the deal is dilutive.

Q17. Rank cash, debt and stock from cheapest to most expensive consideration.

- Cash is usually cheapest. The only cost is the forgone interest income on the cash, which is typically a low rate.
- Debt is next, because interest is tax deductible, so the effective cost is the coupon times one minus the tax rate.

- Stock is most expensive, because the cost of equity is always higher than the cost of debt and issuing shares permanently dilutes existing ownership.

Add one nuance: this ranking describes cost of capital. The accretion outcome also depends on the relative multiples, so the cheapest source is not automatically the most accretive.

Q18. Walk me through an LBO.

A financial sponsor acquires a company using a large proportion of debt and a relatively small equity check, then uses the target own cash flow to service and repay that debt.

- First, determine the purchase price, usually an entry multiple applied to LTM EBITDA, and build sources and uses. Sources are the debt tranches plus sponsor equity; uses are the purchase of equity, refinancing of existing debt, and transaction fees.
- Second, set the capital structure: revolver, first lien term loan, second lien or high yield notes, and sponsor equity as the plug.
- Third, project the operating model and free cash flow across the hold period, and build a debt schedule with mandatory amortization and a cash flow sweep.
- Finally, assume an exit in year five, usually at the entry multiple. Exit enterprise value less net debt at exit gives exit equity value. Compare that to the initial equity check for IRR and multiple of invested capital.

Q19. What are the three drivers of returns in an LBO?

1. Deleveraging.

Free cash flow repays debt. Enterprise value stays flat but net debt falls, so equity value rises. This is value transferred from lenders to the sponsor.

2. EBITDA growth.

Revenue growth and margin expansion increase the earnings base, so the same exit multiple produces a larger enterprise value.

3. Multiple expansion.

Exiting at a higher multiple than the entry multiple. This is the only driver a sponsor cannot control, so a well underwritten deal never depends on it. Most funds model a flat or slightly lower exit multiple as a matter of discipline.

Q20. What is the fulcrum security?

It is the most senior class of claims that is not repaid in full in a restructuring, and therefore the class that converts into the equity of the reorganized company.

To locate it, value the enterprise, then work down the capital structure in order of priority, moving through secured debt, senior unsecured, subordinated, preferred and common, accumulating claims until the cumulative amount exceeds the enterprise value. The class where the value runs out is the fulcrum.

It matters because whoever holds the fulcrum security ends up controlling the reorganized business, which is why distressed funds target it specifically.

The Forty Concepts Rule

Every question in Part One maps back to one of roughly forty underlying concepts. If you can explain the statement linkages, unlevered free cash flow, WACC, the enterprise to equity bridge, the accretion and dilution logic, the LBO returns bridge and the capital structure waterfall, you can reason your way to almost any question an interviewer asks, including questions that are not in this guide.

Part Two: Questions Students Were Actually Asked

What follows is a small sample of the questions Wall Street Alpha students reported back after their interviews. They are harder than the essentials, and they are the reason generic preparation is not enough. Notice that the elite boutiques ask you to apply concepts under pressure to see if you break.



Q21. A company has an enterprise value of $500 million, $100 million of cash and $200 million of debt. Normally, what would its equity value be? And what happens if the company lights all the cash on fire, so it is gone forever?

The first half:

Rearrange the bridge. Enterprise value equals equity value plus debt less cash, so equity value equals enterprise value less debt plus cash. That is $500 million less $200 million plus $100 million, or $400 million.

The second half:

Enterprise value does not change. It measures the value of the operating business, and cash is a non operating asset, so destroying it has no effect on operations. Cash is now zero, so equity value is $500 million less $200 million plus zero, or $300 million. Shareholders absorb the entire $100 million loss.

Why they ask it:

The question is built to catch a candidate who applies the formula mechanically instead of thinking about what the terms mean. Candidates try to carry the burned cash through as a negative number, and subtracting a negative adds value, which produces the absurd result that destroying $100 million made shareholders better off. State clearly that enterprise value is unchanged and that equity bears the full loss, and the question is finished.

Q22. Give me a stock pitch.

Structure it in six parts and keep it to two or three minutes.

- Recommendation first. Name the company and ticker, whether you are long or short, the current price, your target price and the implied upside.
- The business in two sentences. What it does and how it makes money.
- Two or three theses. These are the specific reasons the market is mispricing the company, not a list of things you like about it.
- Valuation. Which methodology, the two assumptions that drive it, and what the current price implies about market expectations.

- Catalysts. What closes the gap, and over what time frame.
- Risks and what would prove you wrong.

Prepare three pitches: one long, one short, and one in a sector connected to the group you are interviewing with. Interviewers push hardest on the second and third thesis, so know the numbers well enough to defend the single assumption your target price rests on.

Q23. How would deferred revenue and the related line items move through each of the three statements?

Take a company that collects $100 of cash for a service it has not yet delivered, at a 25% tax rate.

When the cash is collected:

- Income statement: no impact, because revenue cannot be recognized until the service is delivered.
- Cash flow statement: net income is unchanged. Deferred revenue is a liability and it increases by $100, which is a $100 source of cash. Cash rises by $100.
- Balance sheet: cash up $100, deferred revenue up $100. It balances, and no equity has been created.

When the revenue is recognized:

- Income statement: $100 of revenue is recognized, so at a 25% tax rate net income rises by $75.
- Cash flow statement: start at net income up $75, then subtract the $100 reduction in deferred revenue. Cash falls by $25, which is the tax paid.
- Balance sheet: cash down $25, deferred revenue down $100, retained earnings up $75. Assets fall $25, and liabilities plus equity fall $25. It balances.

The point:

The cash arrives in one period and the profit in another. Deferred revenue is a leading indicator of future revenue, which is why it carries so much weight in software and subscription businesses.

Evercore

Q24. A company has a P/E of 20x, an EV/EBITDA of 10x, interest expense of $20 million, a 5% interest rate, depreciation of $20 million and a market capitalization of $200 million. What is the tax rate?

Work downward from what you can solve directly. The answer is 50%.

- Net income: a $200 million market capitalization at a 20x P/E gives $10 million.
- Debt: $20 million of interest expense at a 5% rate implies $400 million of debt.
- Enterprise value: $200 million of equity plus $400 million of debt, assuming no cash, gives $600 million.
- EBITDA: $600 million at 10x gives $60 million.
- EBIT: $60 million less $20 million of depreciation gives $40 million.
- Pre-tax income: $40 million less $20 million of interest expense gives $20 million.
- Tax rate: pre-tax income of $20 million less net income of $10 million is $10 million of tax, so the rate is 50%. State the assumption out loud as you make it. You assumed the company holds no cash. If the interviewer then hands you a cash balance, enterprise value falls and every figure below it changes.

Q25. A company trades at a 20x P/E and can borrow at 5%. Which is cheaper?

Debt is cheaper.

- Invert the P/E first. A 20x multiple is a 5% earnings yield, which is the rough proxy for the cost of equity, so on the surface the two look identical at 5%.
- Interest is tax deductible. At a 25% tax rate the after tax cost of debt is 3.75%, so debt is already cheaper on that basis alone.
- The gap is in fact wider. The earnings yield understates the true cost of equity, because equity investors are also paying for expected growth, and a CAPM cost of equity for the same company would typically sit well above 5%. Debt is senior, contractual and secured against assets, so it will always carry a lower required return.
- Close with the caveat. Cheaper is not the same as better. Beyond an optimal leverage point, additional debt raises financial distress risk and increases the cost of both instruments.

Q26. What are five common ways to value a company?

- Comparable company analysis, using trading multiples of similar public companies.
- Precedent transaction analysis, using multiples paid in comparable M&A deals.
- Discounted cash flow analysis, valuing projected cash flows at the cost of capital.
- Leveraged buyout analysis, solving for the price a sponsor could pay at a target return.
- Sum of the parts, valuing each business segment separately and aggregating.

Have the situational methods ready as well: liquidation value for distressed companies, the dividend discount model for financial institutions, and replacement cost for asset heavy businesses.

The likely follow up is which methods produce a control value. Precedent transactions and LBO analysis do, because both contemplate acquiring the whole company. Comparable companies do not.

Q27. You sell $100 of inventory for $200. Walk me through the three statements. Assume a cash sale and a 25% tax rate.

Income statement:

Revenue of $200, cost of goods sold of $100, so gross profit of $100. Pre-tax income rises $100, taxes are $25, and net income rises $75.

Cash flow statement:

Start at net income up $75. Inventory falls by $100, which is a source of cash. Cash rises by $175.

Balance sheet:

Cash up $175, inventory down $100, so total assets rise $75. Retained earnings rise $75. It balances.

The follow up they will ask:

If the sale is made on credit rather than for cash, accounts receivable rise $200 instead of cash. Net income is still up $75, inventory still releases $100, and the $200 receivable is a use of cash, so cash falls by $25, which is the tax you paid. Assets rise $75 and retained earnings rise $75. It still balances, and the business is now $25 of cash worse off despite booking a profit.

Goldman Sachs

Q28. What is the difference between net income and free cash flow?

Net income is an accounting measure of profit after every expense, including non-cash charges, interest and taxes. Free cash flow is a cash measure of what the business actually generates and has available to deploy.

Three differences matter. Net income is reduced by non-cash charges such as depreciation and stock based compensation, which free cash flow adds back. Net income ignores capital expenditures entirely, while free cash flow subtracts them. And net income ignores changes in working capital, while free cash flow captures them.

Unlevered free cash flow is EBIT times one minus the tax rate, plus depreciation and amortization, less capital expenditures, less the change in net working capital. It sits above interest, so it is available to all capital providers. Levered free cash flow is what remains after interest and mandatory debt repayment, so it belongs to equity holders alone.

The practical point is that net income is far easier to manipulate through accounting choices. Free cash flow is what services debt, funds dividends and pays for reinvestment, which is why valuation is built on it.

Q29. What is EBITDA?

Earnings before interest, taxes, depreciation and amortization. You calculate it as operating income plus depreciation and amortization, or as net income with interest, taxes and D&A added back.

It is used as a rough proxy for operating cash flow. Because it sits above interest it is capital structure neutral, above taxes it works across jurisdictions, and above D&A it neutralizes differences in accounting policy and asset age. That makes it the most comparable operating metric across a set of peers.

Be ready for the criticism, because a good interviewer will ask. EBITDA ignores capital expenditures and changes in working capital, both of which consume real cash, so for a capital intensive business it materially overstates cash generation. It is also not a GAAP measure, so companies define adjusted EBITDA to suit themselves, and add-back definitions are one of the first things a credit investor checks.

Q30. What is working capital and why do you use it?

Working capital is current assets less current liabilities. In practice you use operating working capital, which excludes cash and any short term debt, so it is accounts receivable plus inventory plus prepaid expenses, less accounts payable, accrued expenses and deferred revenue.

You use it for two reasons. It measures short term liquidity, meaning whether the company can meet its obligations over the next year. More importantly for valuation, the change in working capital is a real source or use of cash, which is why it appears in unlevered free cash flow.

The intuition is that working capital is cash tied up in running the business. If receivables and inventory grow faster than payables, growth consumes cash, which is why fast growing companies can be profitable and still run out of money.

Negative working capital is not automatically bad. A subscription software company collects cash before it delivers the service, so deferred revenue makes working capital negative and growth actually generates cash. That is a strength, not a warning sign.

The Full Question Bank

The questions above are a sample from three firms. Wall Street Alpha maintains a bank-specific interview question bank covering thirty firms, from the bulge brackets through the elite boutiques and the middle market, including Goldman Sachs, J.P. Morgan, Morgan Stanley, Evercore, PJT, Centerview, Perella Weinberg, Houlihan Lokey, Barclays, Citi, Deutsche Bank, UBS, RBC, Wells Fargo, Piper Sandler, Baird and many more.

Students receive the full bank as part of the program.

Section Four

What Comes Next

You now have the material, and what you do with it from here decides the outcome. The candidates who convert are the ones who said every answer above out loud, on a timer, to another person, repeatedly until the delivery stopped requiring thought. It's slow, repetitive work, and almost nobody finishes it without someone holding them to it.

Who this is for

- Students targeting investment banking, sales and trading, private equity, private credit, or hedge fund analyst seats
- Freshmen and sophomores who want to attack early insight programs before their peers know those programs exist
- Juniors deep in an accelerated cycle who can't afford to walk in underprepared
- Working professionals looking to lateral into finance from an adjacent career

The next step

Book a call. We'll go through your background, where you're aiming, and how much runway you actually have. You'll leave that conversation knowing where you stand and what the next ninety days need to look like, whether or not we end up working together.

Schedule Your Call

Schedule a call with Chase to hear about the 1:1 program: wallstalpha.com/apply



Chase Enloe
Founder, Wall Street Alpha

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